

taxonomy', 'Data sharing' and 'Collaboration and capacity building'.

While talking about having a Crypto Unit, there is a pressing need to create a team of qualified experts who can serve as a gateway in providing guidance to understand the evolving technology. The objective should be to provide a coordinated approach in managing risks that can be consistently applied across jurisdictions.

Apart from this, there is a pressing need for **Coordinator and advisors** to guide this sector. The main objective of the unit should be to develop standard rules and regulations of crypto assets, which can be consistently applied across geographies which in turn will minimize the potential for regulatory arbitrage where people generally move to jurisdictions with easier requirements. The comprehensive and coordinated approach of the unit can help in developing a global framework making the sector future-ready.

Another crucial aspect is the need for **Uniform taxonomy**. There is also a pressing need for a global set of standards when it comes to the classification of digital assets. The uniform taxonomy will help the crypto industry to grow with people having a better understanding of different classes of virtual assets.

While a globally consistent taxonomy can help data standardization and cooperation. An international agreement on common minimum principles for **data sharing** should be developed, as it can lead to better oversight of new developments and a more accurate understanding of risks.

Incidentally, a globally coordinated effort to ensure real time transfer of both - source and beneficiary information in a secure manner to ensure KYC and AML controls system is already in action.

In the recent past, the Financial Action Task Force (FATF) has done a lot of groundwork in terms of developing the guiding principles and many companies have already initiated pilots with various exchanges, and a good amount of information transfer is already happening. As more and more exchanges start aligning with these processes, we should see a much safer global crypto environment.

Interlinkages among national regulators is key for effective enforcement and less regulatory arbitrage, hence a need for **Collaboration and capacity building** is being felt across the spectrum of Crypto. Nations working in silos

make them weaker, therefore international cooperation in the digital world is more important than ever. The setting up of the above pillars may be a daunting task and appear to be futuristic at a glance but if we start now, we can achieve the goal of benefitting the most from crypto assets while managing risks in an efficient manner.

Having said that the task may not be easy initially but there are a lot of examples that exhibit action on the ground. Consider the OECD, BEPS Project, which was set up as an international collaboration to end tax avoidance by multinational enterprises using base erosion and profit shifting tools. It is the most ambitious multilateral international tax policy initiative ever undertaken that has led to an important shift in practices both by policymakers and multinational corporations. There is another example of Central Bank Digital Currency (CBDC) where most advanced projects are expanding their scope to test cross-border connectivity and project interoperability, examples include Hong Kong SAR-Thailand, Singapore-Canada, Europe-Japan, United Arab Emirates-Saudi Arabia.

The global crypto industry can also take a leaf out of the International solar alliance's book which was initiated by India and now has 121 countries. The purpose of the alliance was to bring together a group of nations to endorse clean energy, public transport, sustainable environment and climate. Recently, Observer Status has been granted to the alliance by the UN General Assembly. Not to mention ISRO's maiden mission to Moon, the Chandrayaan-1, which can be a template to be followed for international cooperation with its international payloads. It has also earned several laurels and was pivotal in the ISRO-NASA joint discovery of water molecules on the moon surface, which never happened in the previous such missions.

Clearly, with India becoming the unicorn capital of the world, the timing cannot be right to cash in on the opportunity to lead the efforts for global cooperation in crypto. Siloed approaches are no more the way to deal with the digital asset. There is a need to look at it holistically for allowing innovation in the field. It is time to start the process as the path to the global framework will need enormous efforts to ensure fairness, coordination and transparency among nations. Digital assets have hit critical velocity and the revolution can no longer be ignored. The acceptance of crypto has gone mainstream and is undeniably emerging as the next big thing. We need policymakers around the world to work together to create bespoke policies with India at the forefront of these discussions.